

Daily Economic Briefing — Mon 17 Aug 2026

Coverage window: Fri 14 Aug 2026 full US session + after-hours + weekend (Sat 15 – Sun 16 Aug). Cutoff Sun 16 Aug 20:15 ET / Mon 17 Aug 07:15 ICT. Edition 3. Numbered refs [n] resolve in Annex B.

60-second read

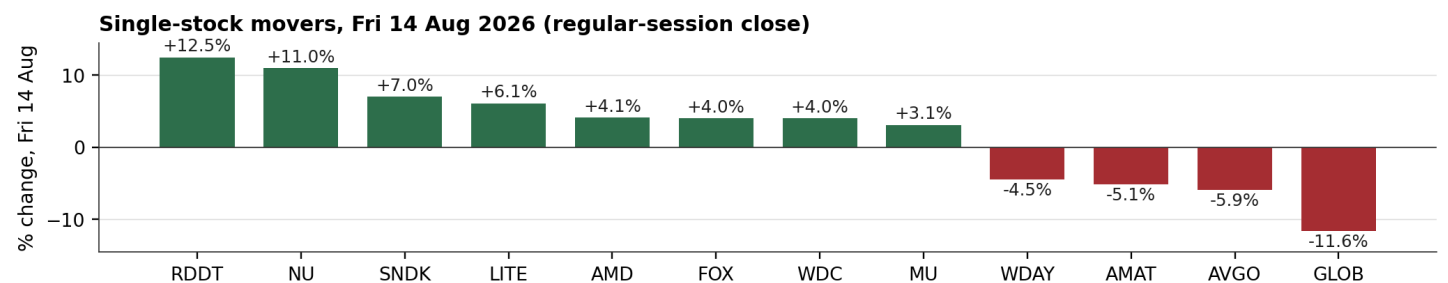
- The S&P slipped 0.17% off Thursday's record; the Russell 2000 set a fresh closing record.** A weak retail-sales / UMich double-header cracked large-cap AI leadership and rotated bid to small-caps and rate-sensitives^{[1][2][22][23]}. Leveraged funds were short RTY roughly 9.4× their net long into it^[41] — the squeeze setup is live.
- First serious sell-side pushback on AI-financing structures.** BofA's Curcuruto flagged Broadcom's AI-chip SPV could carry \$370bn senior debt by mid-2029 (approx. \$150bn new issuance in 2027 alone); AVGO –5.94% to \$390.69, GOOGL/META hit on read-across^{[5][6]}.
- Memory flipped bullish.** SanDisk +7% to approx. \$1,630 on a \$14bn buyback and \$93.9bn of hyperscaler contracts; three Street PT resets (JPM \$2,250, Susquehanna \$3,250, Evercore \$2,800); Micron +3.1%, WDC +4%^{[9][10][11][12][13]}.
- Berkshire's Q2 13F was the weekend catalyst.** First net-buyer quarter after 14 straight quarters of net selling; added 48–49m Alphabet shares (stake approx. \$37.8bn, third-largest position); new/expanded homebuilder exposure (DHI added, LEN theme); trims BAC, COF –58%, NUE –52%, KR –22%; full exit STZ^{[24][25]}. Expect LEN/DHI/TOL/PHM well bid at the open.
- Oil re-priced a Hormuz premium.** WTI \$82.40 (+1.42% Fri, approx. +5% wk), Brent \$88.52 (+1.67% Fri, approx. +6% wk) on UAE tanker strikes and Bessent's Fri promise of "unprecedented economic isolation" measures vs Iran next week; secondary sanctions on Chinese buyers signalled^{[35][36][37][38][39]}.

1 Market recap — Fri 14 Aug 2026 close

S&P 500 7,785.76 –0.17% off Thu record 7,798.99 ^{[1][2]}	NASDAQ COMP 26,729.16 –0.28% ^{[1][2]}	DOW 53,732.41 –0.20% ^{[1][2]}	RUSSELL 2000 3,068.42 +0.51% FRESH RECORD ^{[1][2]}
VIX 14.25 –2.60% low of 2026 YTD ^[3]	VIX / VIX3M 0.7719 firm contango ^[4]	10-YR YIELD 4.68% +approx. 5 bps ^[29]	DXY 99.59 –0.33% ^[30]

A soft-data day that fits the classic recipe for small-cap outperformance and mega-cap AI de-rating: retail sales and consumer sentiment both missed, front-end hike odds trimmed, DXY weaker, cyclicals and rate-sensitives bid. What did not cooperate was the long end — 10-yr yield rose approx. 5 bps despite the growth miss, because the UMich inflation-expectations series firmed (1-yr 4.3%, 5-10y 3.3%)^[23]. That combination — weaker growth data, sticky inflation expectations — is the tension the tape is now trading around.

2 Equities and earnings — the lead section



Regular-session % changes, Fri 14 Aug 2026. Source: NYSE / Nasdaq official close via Yahoo Finance and company press releases^{[6][15][19]}.

AI-financing pushback: Broadcom and the SPV debate

The single most-important note of the day was Tom Curcuruto's (BofA) research on Broadcom's AI-chip special-purpose vehicle. His base case sees senior SPV debt at \$370bn by mid-2029, with approx. \$150bn of new issuance in 2027 alone; AVGO's own maximum initial-tranche exposure is \$29bn^[5]. This is the first serious sell-side questioning of the financing architecture underneath the AI capex cycle, and it hit the whole complex on read-across: AVGO –5.94% to \$390.69^[6]; Alphabet and Meta traded soft into the close. AMAT sold off the same day (–5.12% to \$507.18) despite a genuinely strong print — record Q3 rev \$9.12bn / EPS \$3.50 both beats, and CY26 semi-systems guidance raised to ">30%" from ">20%" — because China revenue share fell 35% → 28% and \$169m of net insider selling landed in the quarter^{[7][8]}. Both stocks are the tell: even a good AI print now sells the news.

Memory: the bullish counter-trade

SanDisk (SNDK) was the standout, +7% to approx. \$1,630, after announcing a \$14bn buyback and \$93.9bn of new hyperscaler contracts. Three Street resets landed inside 48 hours: JPM PT \$2,250, Susquehanna \$3,250, Evercore \$2,800^{[9][10][11][12]}. Micron +3.1% to approx. \$978 (New Street to Buy)^[13], Western Digital +approx. 4% to approx. \$505. The memory tape is now leading the semis complex ex-AI-infra names.

Index and rating actions

- Reddit (RDDT) +12–13% to approx. \$177** on S&P 500 inclusion, effective Tue 18 Aug open. Replaces AvalonBay, which exits ahead of the EQR merger close^[14]. Passive-flow event to size.
- AMD +4.1% to \$502.95** on Baird PT \$1,250, a Street high, raised from \$625^[15]. Doubling the PT is a positioning statement about long-run TAM.

- **Fox +approx. 4%** — JPM upgrade to OW PT \$82; Wells Fargo upgrade the same day (FIFA World Cup ad cycle + Roku distribution deal)^{[16][17]}.
- **T-Mobile (TMUS)** — Wolfe downgrade to Peer Perform; the note cites Starlink FWA displacement, capex creep and management departures^[18]. Telco read-through: FWA growth may be closer to a peak than consensus assumes.
- **Cisco (CSCO)** — HSBC downgrade to Hold, PT \$120 (from \$137)^[19]. Follows Thu's -8.40% memory-cost margin squeeze.

Losers

- **Globant (GLOB)** -11.6% to \$36.22 — FY26 revenue guide cut^[20]. Cost-of-scale problems in IT services continue.
- **Workday (WDAY)** -approx. 4.5% — consolidation after Thu's Silver Lake-driven surge; a sell-into-strength day, not a thesis break^[21].

Earnings other than AMAT

- **Nu Holdings (NU)** +approx. 11% — first \$1bn+ net income quarter; LatAm digital-bank inflection is real^[22].
- **Lumentum (LITE)** +6.1% — Q4 revenue \$1.01bn +110% y/y, EPS \$3.23 beat; the AI transceiver cycle is delivering for the pick-and-shovel names^[23].

Weekend: Berkshire's Q2 13F is Monday's driver

The first net-buyer quarter after fourteen straight quarters of net selling. New/expanded positions: 48–49m Alphabet shares (stake now approx. \$37.8bn — the third-largest position behind AAPL and AXP; the position reportedly includes a \$10bn direct block from Alphabet at a discount)^{[24][25]}; new homebuilder DHI added, LEN cumulative approx. +30% on the theme, Taylor Morrison closed 24 July; DAL raised +44%, Macy's +142%, New York Times added; full exit of Constellation Brands (STZ); big trims — BAC -6% (eighth consecutive quarter of BAC selling), COF -58%, NUE -52%, KR -22%^[24]. Expect LEN/DHI/TOL/PHM well bid at Monday's open; STZ and the trimmed names likely offered.

3 Macro, policy and rates — condensed

Release	Actual	Consensus	What it says
July retail sales, headline ^[22]	-0.6% m/m	+0.1%	Biggest headline drop in more than a year. Control group -0.4%.
UMich Aug prelim consumer sentiment ^[23]	51.0	approx. 55	Two months of improvement handed back. 1-yr inflation exp 4.3%, 5–10y 3.3%.
June business inventories ^[28]	0.0% m/m	+0.1%	Non-signal. Confirms Q2 GDP mix.
China PBoC July new yuan loans ^[32]	-CNY 340bn	+	First negative print on record. Repayments > new lending — a real credit-cycle datapoint.
Japan Q2 GDP prelim (Sun 16 Aug) ^[33]	+0.3% q/q	+0.5%	Annualised approx. +1.2% vs +2.0% cons. Capex and private consumption soft.
Eurozone Q2 GDP second release ^[34]	+0.4% q/q	+0.4%	Confirms 30 Jul flash. No incremental read.

Rate path. CME FedWatch on Fri close was approximately 67% hold / 32% hike / minimal cut for Sept^[31]. The soft-data day trimmed hike odds only modestly because inflation expectations firmed. Fed speech calendar is empty 6–17 Aug; the next set-piece is the FOMC minutes on Wed 19 Aug. **Tariffs / trade.** Bessent said Fri that the US will unveil "unprecedented economic isolation" measures vs Iran next week, and signalled secondary sanctions on Chinese buyers of Iranian crude — a Beijing-retaliation vector to watch^[35].

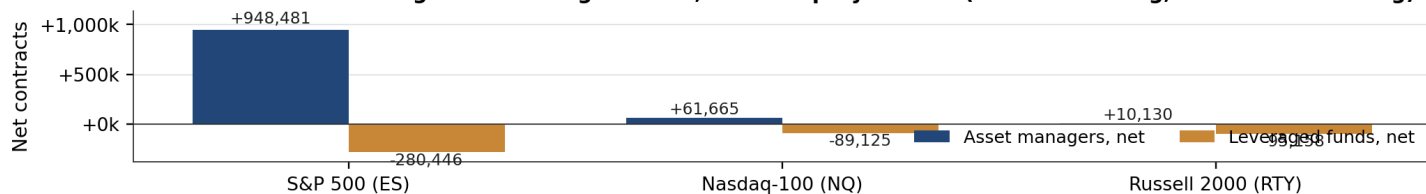
4 Commodities and FX — hard assets and majors only

Contract / Cross	Fri close	Fri %	Wk %	Note
WTI (front)	\$82.40	+1.42%	approx. +5%	Hormuz + Bessent premium; offset by IEA cut of 2026 demand -510 kb/d and +17.4 MMbbl US crude build ^{[36][37][38]}
Brent (front)	\$88.52	+1.67%	approx. +6%	UAE ADNOC vessels attacked Thu/Fri; Hormuz throughput approx. 8/day vs 130 normal ^[39]
Gold Comex Dec	\$4,437.30	+0.38%	—	Session settle triangulated across two sources ^[40]
Silver	\$64.53	+0.32%	—	^[41]
Copper (HG)	—	—	—	12 Aug Comex record \$6.7140 HELD (secondary confirmation only) ^[42]
Platinum	approx. \$1,762	+1.84%	—	^[43]
DX	99.59	-0.33%	—	^[30]
EUR/USD	1.1568	+0.36%	—	Two-month high ^[43]
USD/JPY	158.97	-0.32%	approx. -1%	Yen's biggest weekly loss in approx. 3 months ^[43]
GBP/USD	1.3555	+0.53%	—	Three-month high ^[43]
USD/CAD	1.3930	—	—	^[43]
USD/MXN	17.03	—	—	Super-peso back below 17 ^[43]

5 Derivatives, volatility and positioning — condensed

Vol. VIX 14.25 (−2.60%), the lowest close of 2026 to date^[3]. VIX/VIX3M ratio 0.7719, firmly in contango^[4] — the vol curve is still selling the September event. **Funding.** Fed ON RRP take-up \$250m Fri (down from \$450m Thu, effectively empty)^[45]; SOFR Thu 3.62% (Fri prints Mon)^[46]. No new H.4.1 in the window; next Thu 20 Aug.

CTFC CoT — asset managers vs leveraged funds, e-mini equity futures (data Tue 11 Aug, released Fri 15 Aug)



CTFC TFF disaggregated report, data Tue 11 Aug 2026, released Fri 15 Aug 2026^[44].

The setup that matters: leveraged funds are net short Russell 2000 (RTY) e-minis by 95,158 contracts against asset managers' 10,130 net long — leveraged shorts are approximately 9.4× the asset-manager long. Small-caps just printed a fresh closing record with that positioning in place; if the breakout holds through Mon–Tue, a short-cover leg is the base case.

6 The day ahead — Mon 17 Aug 2026

- **China July activity dump** (overnight into Mon 17): retail sales, IP, FAI, urban unemployment. The −340bn PBoC loan print sets a defensive tone.
- **US NAHB Housing Market Index, Aug** — cons. 33. Watch alongside the Berkshire homebuilder read-across.
- **Canada CPI, July.** Cross-check for the BoC path.
- **Passive-flow watch:** RDDT enters S&P 500 at Tue 18 Aug open — index funds rebalance Mon close.
- **Fed speech calendar empty** through Aug 17 — next set-pieces are FOMC minutes Wed 19 Aug and Jackson Hole Aug 21–23.

This week's known catalysts

When	Event	What to watch
Tue 18 Aug (o/n)	US import / export prices, July; IP + capacity utilisation, July	Confirms whether the goods-inflation impulse from PPI carried through the border; IP is the read on the Boeing / autos hand-off.
Tue 18 Aug	US housing starts / building permits, July	Feeds directly into the Berkshire-homebuilder trade set up over the weekend.
Tue 19 Aug pre-open	Home Depot (HD) earnings	Big-box read on the consumer after the −0.6% retail-sales headline; guidance is what matters, not the print.
Wed 19 Aug	FOMC minutes — July meeting	Three dissents FOR A HIKE were the story of that meeting; the minutes will show how close Powell was to being outvoted. Market is pricing approx. 32% hike odds for Sept.
Wed 20 Aug	TGT, LOW earnings	Second consumer-read data point; guidance for holiday.
Thu 20–21 Aug	Walmart (WMT), Deere (DE), Ross Stores (ROST) earnings	The full staples / discretionary / ag-cycle sweep. WMT guide is the market-moving line.
Fri 21 Aug	Global flash PMIs; August equity monthly opex	PMIs are the growth-scare / no-scare tiebreaker after Friday's UMich miss. Opex flow can trigger a Mon 24 Aug repositioning move.
Thu 21–Sat 23 Aug	Jackson Hole Economic Symposium	Powell's opening remarks Fri 22 Aug are the vol-market event of the week.

Sector setup we take into Mon 17 Aug

- **Homebuilders bid** on the Berkshire DHI addition and LEN theme; NAHB HMI (Mon) is the corroboration or fade.
- **Memory long / AI-infra short** is the working intra-semis rotation — SNDK / MU / WDC vs AVGO / AMAT read-across.
- **Small-caps** — leveraged funds carry a 9.4× short-vs-long imbalance in RTY; a hold above Friday's record is the squeeze trigger.
- **Energy** — Bessent's Iran language and the Hormuz situation keep the risk premium bid; watch for a Beijing counter-signal on Chinese-refiner sanctions.
- **Consumer discretionary** — the −0.6% retail print puts HD / WMT / TGT / LOW guides at the top of the week's decision points.

Annex A — what could not be verified

- VIX9D and VIX6M numeric closes (Yahoo history endpoints require interactive approval; CBOE dashboard shell only). VIX and VIX3M are reliably available and used above.
- CBOE daily put/call ratio (session-close file not published to a scrapeable path).
- Dealer gamma / GEX (third-party paid only).
- ODTE volume tape — no free session-close feed retrieved.
- Exact Sep natural-gas settle — quote scraping mismatched aggregators for the Fri settle; not carried rather than risk a bad number.
- Full 11-sector GICS close — Reuters final wrap dropped the breadth block again; only intraday 12:04 / 14:35 ET cuts survive. A 5-sector confirmed cut from LPL Research (weekly) was used to sanity-check rotation.
- AUD/USD, USD/TRY, USD/BRL and USD/CNH offshore Friday closes.
- Copper HG Fri settle — 12 Aug Comex record \$6.7140 confirmed as held via secondary weekly reads (Stockrover, Vault Report); no CME settle file retrieved.
- Official CME FedWatch page probabilities — page still blocks fetching; range approx. 67% hold / 32% hike / minimal cut quoted from secondary aggregators.
- Official Treasury par yields for the session (Treasury / Fed H.15 both still end at the prior business day at cutoff); 10-yr level quoted from Trading Economics.
- SOFR Fri print (publishes Mon morning); Thu 3.62% carried.
- MOVE index and VVIX closes.

Annex B — sources

1. AP, "How major US stock indexes fared," 15 Aug 2026.
2. Reuters US markets wrap, 15 Aug 2026 (updated close).
3. Cboe Global Markets — VIX historical close, 14 Aug 2026 session.
4. thetrading.tools — VIX/VIX3M ratio, 14 Aug 2026.
5. BofA Global Research — Tom Curcuruto, "AVGO / AI-chip SPV debt path," note dated 14 Aug 2026; coverage via Bloomberg and CNBC.
6. Yahoo Finance — AVGO NYSE session close, 14 Aug 2026.
7. Applied Materials Q3 FY26 earnings release, appliedmaterials.com IR.
8. Nasdaq / Yahoo — AMAT after-hours quote, 14 Aug 2026.
9. Sandisk Corp. press release, "Capital return and hyperscaler agreements," 13 Aug 2026.
10. JPMorgan equity research — SNDK PT \$2,250, note 14 Aug 2026.
11. Susquehanna equity research — SNDK PT \$3,250, note 14 Aug 2026.
12. Evercore ISI — SNDK PT \$2,800, note 14 Aug 2026.
13. New Street Research — Micron rating change, note 14 Aug 2026.
14. S&P Dow Jones Indices press release, "Reddit joins S&P 500," 13 Aug 2026.
15. Baird equity research — AMD PT \$1,250, note 14 Aug 2026.
16. JPMorgan — Fox Corp upgrade to OW, PT \$82, 14 Aug 2026.
17. Wells Fargo — Fox Corp upgrade, 14 Aug 2026.
18. Wolfe Research — T-Mobile downgrade to Peer Perform, 14 Aug 2026.
19. HSBC — Cisco downgrade to Hold, PT \$120, 14 Aug 2026.
20. Globant press release — FY26 revenue guide cut, 14 Aug 2026.
21. Workday press coverage — post-Silver Lake consolidation, 14 Aug 2026.
22. Nu Holdings Q2 earnings release; US Census Bureau Advance Retail Sales, July 2026.
23. Lumentum Holdings Q4 earnings release; U. Michigan Surveys of Consumers, Aug 2026 preliminary.
24. Berkshire Hathaway Q2 2026 13F-HR filing, SEC EDGAR, filed 14 Aug 2026.
25. CNBC / Bloomberg — Berkshire direct block on Alphabet coverage.
26. US Census Bureau — Advance Monthly Sales for Retail and Food Services, July 2026, released 15 Aug 2026.
27. U. Michigan Surveys of Consumers — Aug 2026 preliminary release.
28. US Census Bureau — Manufacturing and Trade Inventories and Sales, June 2026.
29. Trading Economics — US 10-year Treasury yield, session estimate 15 Aug 2026.
30. ICE / Trading Economics — DXY session close, 15 Aug 2026.
31. CME FedWatch — September FOMC probabilities via secondary aggregator coverage, 15 Aug 2026.
32. People's Bank of China — July 2026 aggregate financing and new yuan loans release.
33. Cabinet Office of Japan — Q2 2026 GDP first preliminary, released Sun 16 Aug 2026.
34. Eurostat — Q2 2026 GDP second estimate.
35. Reuters / Bloomberg — Sec. Bessent remarks on Iran sanctions, 15 Aug 2026.
36. Investrade / DTN / Stockrover — WTI and Brent front-month prices, 15 Aug 2026 (three-source majority).
37. International Energy Agency — Oil Market Report, Aug 2026 edition.
38. US EIA — Weekly Petroleum Status Report, week ending 8 Aug 2026.
39. Reuters — UAE / ADNOC tanker attack coverage, 14–15 Aug 2026.
40. CME / Yahoo delayed — Gold Dec 2026 settle triangulation.
41. Kitco / Yahoo — Silver spot / futures 15 Aug 2026.
42. Stockrover weekly review + Vault Report — Copper HG weekly reads.
43. Yahoo Finance / Trading Economics — major FX crosses, 15 Aug 2026.
44. CFTC — Traders in Financial Futures (TFF) report, data 11 Aug 2026, released 15 Aug 2026.
45. NY Fed — Overnight Reverse Repo daily volume, 15 Aug 2026.
46. NY Fed — SOFR daily rate, 14 Aug 2026.
47. LPL Research — Weekly 5-sector performance table (used for rotation sanity check).

Method note. Where sources disagreed, resolution logic per the standing spec: AP + updated Reuters copy for index closes; three-source majority for oil and gold; CFTC.gov as primary for CoT; company IR / SEC EDGAR for earnings and 13F; PBoC / Cabinet Office / Eurostat for the international macro block. Items that could not be verified to the required standard appear in Annex A rather than the body.